

Pre-feasibility study for Residential Villas in Ajloun



2017

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1. Executive summary

The proposed project idea is to build luxurious mixed use villas complex in Ajloun province. Where Ishtifina region was suggested to establish the project, Ishtifina has been known for it's mild climate and for being quit place with a fabulous view on the surrounding forests and green hills and close to to the vital areas. The project will construct a total of 65 villas. The project consists of several phases, where the duration of each stage will be two years; the first step is building and construction of 13 villas in the first year, and to besold in the second yearof the phase.

The project includes all the facilities services accompanying the regions and residential projects such as public facilities, Playgrounds, and swimming pools.

The following table shows the results of the study:

Table1 main results of the study

Results	
Total investment cost (JD)	2,709,932
IRR (%)	20.48%
Payback period (years)	7
Net present value (for 10 years)	985,384
Provided job opportunities	6
Expected total cash inflows (for 10 years)	11,479,000
Total operating expenses (for 10 years)	6,758,670
Total net profit (for 10 years)	3,640,723

2. Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

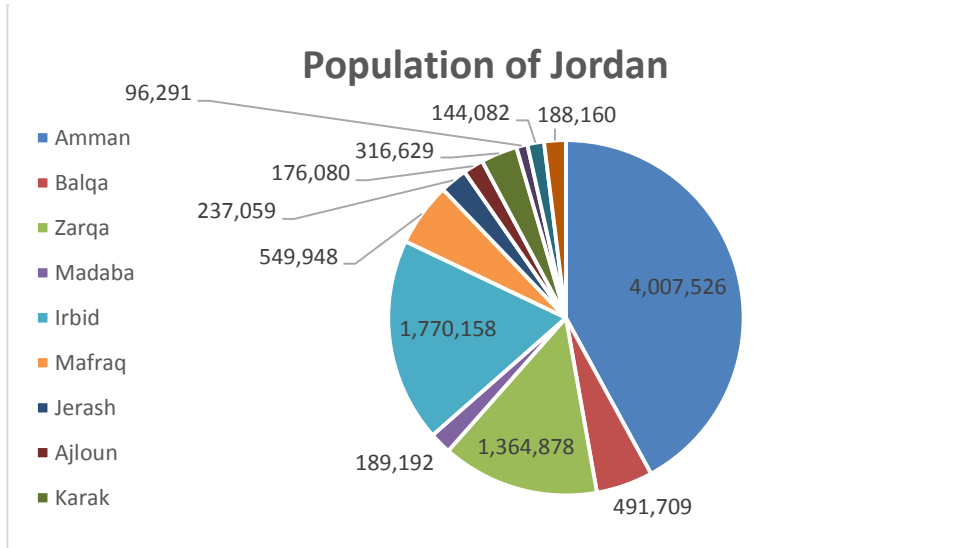
Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country

as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafrq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table 1: Population Distribution according to Age Group

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

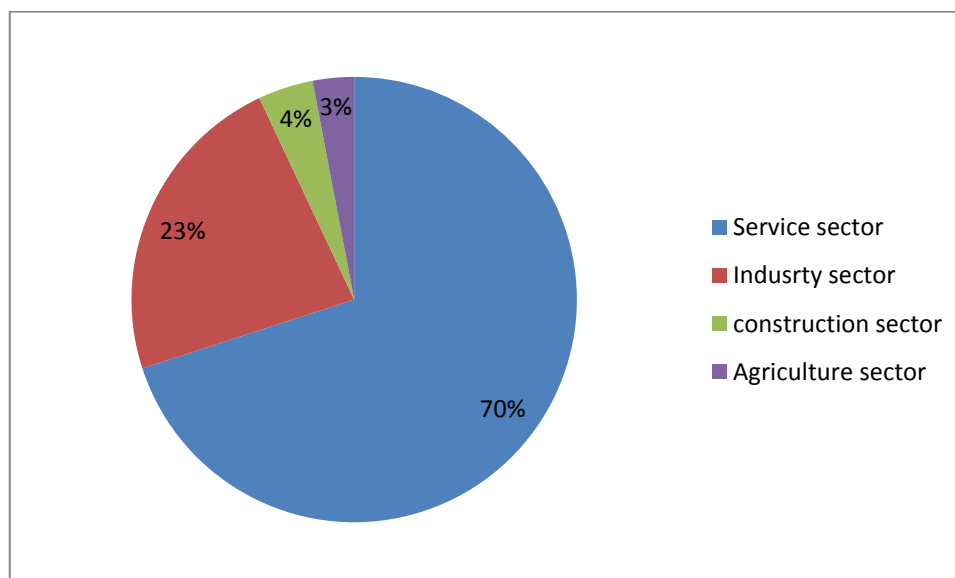
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2 Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.

- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

3. Market Analysis

Project Description

The project idea is to build residential villas in Ajloun, the villas are characterized by their, magnificent beauty and luxurious design and close to all needed services, the project consist of the following:

- 65 residential, the average area of a villa is 300m².
- The villa consists of 4 rooms, 3 bath rooms, 2 sleeping rooms, 2 living rooms, office, maid room, security, parking, large garden, 2 indoor swimming pool for both genders, in addition to central heating.



Project Objectives

The objectives of the project can be summarized in the following points:

- Achieving a profitable return to the owner of the project.
- Meeting the demand of the Jordanian and foreigners to establish residential villas at affordable prices in a quiet area close to the vital areas.
- Revive the economic situation of the province.
- Providing job opportunities and improving the economic status of Ajloun.

Proposed Service

The project aims to establish a luxurious mixed-use residential villa complex in Ajloun province, Ishtifina location was suggested due to its mild climate, quiet place and fabulous view.

Target Segments

The project targets mainly, Amman residents, and foreigners, and the residents of Jordan and Ajloun, which has a population of (176080).

The suggested place is quiet and has amazing nature which attracts people to live there.

Market Size Analysis

The size of the market has been studied depending on buy and sell transactions for real estate in 2015 and 2016.

Noticing the increase in the transactions in 2016 compared to 2015, due to the increase in population and urban expansion in all governorates of the Kingdom.

The following table shows buying transactions during 2015 and 2016:

Table 2 real estate sales for the years 2015-2016

Regines	Number of buying transactions in 2015		Number of buying transactions in 2016	
	housing	lands	housing	lands
Amman	27,396	16,588	27,693	26,964
The rest of provinces in the kingdom	16,416	47,626	13,157	75,573
Total	43,812	64,214	40,850	102,537
Grand total	108,026		143,387	

Real Estate Newsletter 2015-2016/ Department of Land and Survey

Competitors analysis

There are no investment villas projects similar to the proposed project in Ajloun, therefore there is no direct competition, but there is indirect competition with small private projects, as there are about 6 villas in the same area.

Prices analysis and pricing strategies

The following are the suggested prices:

- Dunam price in Ajloun: 25,000 JD
- Construction works cost: 300 JD/m
- Swimming pool cost per meter: 140 JD/m
- Price of the walls of Stone chain: 28,000 JOD
- The villa selling price with the land: 150,000

Source: AL Basateen real estate, similar project (Al Andalusia in Madaba, consists of 46 villas with an area of 346 square meters per villa, selling price 420,000 dinars)

Expected Market Share

The proposed project consists of 65 residential villas, that will be built in several stages for 10 years, the duration of each stage is two years, 13 villas will be built in the first year, and will be sold in the second year.

There will be no difficulty in selling the villas due to its competitive price in addition to the absence of direct competition in the same area that increases the chance of selling the villas.

Expected Revenues Analysis

The following table shows expected revenues of the project for 10 years:

Table 3 expected revenues during (2018-2027)

Revenues	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Number of sold villas	0	13.00	0	13.00	0	13.00	0	13.00	0	13.00
Total sold villas	0.00	13.00	13.00	26.00	26.00	39.00	39.00	52.00	52.00	65.00
Services (percentage of selling price)	0.75%	0.75%	0.75%	0.75%	0.75%	0.75%	0.75%	0.75%	0.75%	0.75%
Villa price	0	150,000	155,000	160,000	165,000	170,000	175,000	180,000	185,000	190,000
Villas revenues	0	1,950,000	0	2,080,000	0	2,210,000	0	2,340,000	0	2,470,000
Services revenues	0.00	14,625.00	15,112.50	31,200.00	32,175.00	49,725.00	51,187.50	70,200.00	72,150.00	92,625.00
Total revenues	0	1964625	15112.5	2111200	32175	2259725	51187.5	2410200	72150	2562625

4. Technical Analysis

Required human resources

Table 4 required human resources

Job title	Number
Indirect employees	
General manager	1
Accountant	1
Marketing officer	1
Cleaner	1
Total	4
Indirect employees	
Services worker	2
Total	2
Grand total	6

Location analysis

Ishtifina region was suggested for the establishment of the project, Ishtifina is Jordanian town located in Ajloun district in Ajloun province in northern Jordan. Ishtifina is tourist area with pine and oak forests. It is located northeast of Ajloun Castle at a distance of 1.5 km away from the castle, it is located with an altitude of 1150 meters. It is known for its moderate climate in summer and its coldness and frequent snow and rain in winter. It is one of the most elevated areas above the sea level in Ajloun west mountains overlooking on Al Aghwar Valleys.

Technical requirements analysis

1.1.1 Land and construction works

The project will be established on land with an area of 50,000 m², the following tables shows f the needed land

Table 5 required land

The land	Area (m ²)
Required land	50,000

An office for management employees will be rented, the project does not require any construction work or machinery and equipment. The construction works will be carried out by the contracting offices and the contractors in the area.

Furniture

The project requires general furniture for the management department.

5. Financial analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 13.57% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 6 General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 7 Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 8 Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 9 Expenses Assumptions

Expenses Assumptions	
Construction works from Total Revenues	60.00%
Utilities Expenses from Total Revenues	7.50%

Table 10 Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	20%
(2) Income Tax Deduction	80%
Income Tax after Deduction	5%
(3) Compulsary Reserve Percentage	10%
Other Assumptions	value
(1) Annual Monthly Salaries have been calculated after multiplying monthly salaries by:	16

Table 11 Risk Premuim

Risk Premuim	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premuim	10.12%
Income Tax Rate	5.00%
(4) Beta	1
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table 12 Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premuim	%10.12
Income Tax Rate	%5
Bets	1.00
Equity	1,625,959
Loans Value	1,083,973
Loans	
Cost of Borrowing before Tax	%9.48

Cost of Borrowing After Tax	%9.01
Loans Value	1,083,973
Loans Percentage	%40
Equity	
Cost of Equity	%16.6
Equity Value	1,625,959
Equity Percentage	%60
Gross	
Project Value	2,709,932
Weighted Average Cost of Capital	%13.57

Capital Expenditures

The estimated cost of the project is 2,709,932 JD and it covers land costs, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 13 Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (M2)	Cost(JD)
Required Land	25	50,000	1,250,000
Total Cost			1,250,000

Table 14 Furniture Capital Expenditure

Furniture	Number	Unit cost (JD)	Total cost (JD)
General furniture	1	-	3,000
Total			3,000

Table 15 Pre-Operating Expenses

Pre-operating expenses	Estimaited cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	1,500
Training	2,500
Total cost	7,000

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 16 Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	12	%100	1,179,425
General and administrative expenses	6	%50	1,650
Marketing expenses	6	%50	2,500
Indirect Salaries	6	%50	20,000
Total			1,203,575

Table 17 Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	1,250,000	10%	1,375,000	%50.7
Furniture	3,000	10%	3,300	%0.1
Pre-Operating Expenses	7,000	10%	7,700	%0.3
Working capital	1,203,575	10%	1,323,932	%48.9
Total (JD)	2,463,575		2,709,932	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (2,709,932) JD, where 40% of the project will be financed through loans (1,083,973) JD, and the remaining (60%) through (Equity) with (1,625,959) JD. The following table summarizes the general structure of the required financing:

Table 18 Sources of Funding

Funding Sources	Amount	Percentage
Equity	1,625,959	%60
Loans	1,083,973	%40
Total	2,709,932	%100
Use of Fund	Amount	Percentage
Capital Expenditures	1,378,300	%50.86
Pre-Operating Expenses	7,700	%0.28
Working Capital	1,323,932	%48.85
Total	2,709,932	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 19 Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Construction works from selling price		1,170,000	0	1,248,000	0	1,326,000	0	1,404,000	0	1,482,000
Service benefit expenses from revenues	0	1,097	1,133	2,340	2,413	3,729	3,839	5,265	5,411	6,947
Direct Salaries	8,000	8,328	8,669	9,025	9,395	9,780	10,181	10,599	11,033	11,485
Total	8,000	1,179,425	9,803	1,259,365	11,808	1,339,509	14,020	1,419,864	16,444	1,500,432

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 20 General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	600	618	637	656	675	696	716	738	760	783
Office renting	1,500	1,545	1,591	1,639	1,688	1,739	1,791	1,845	1,900	1,957
Hospitality	300	309	318	328	338	348	358	369	380	391
Stationary and Printing	300	309	318	328	338	348	358	369	380	391
Transportation	600	618	637	656	675	696	716	738	760	783
Total	3,300	3,399	3,501	3,606	3,714	3,826	3,940	4,059	4,180	4,306

Marketing Expenses

Table 21 Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	5,000	1,000	5,000	1,000	5,000	1,000	5,000	1,000	5,000	0

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance, etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 22 expected number of employees

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General manager	1	1	1	1	1	1	1	1	1	1
Accountant	1	1	1	1	1	1	1	1	1	1
Marketing officer	1	1	1	1	1	1	1	1	1	1
Cleaner	1	1	1	1	1	1	1	1	1	1

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total number of indirect employees	4	4	4	4	4	4	4	4	4	4
direct employees										
Services worker	2	2	2	2	2	2	2	2	2	2
Total number of direct employees	2	2	2	2	2	2	2	2	2	2
Grand total	6	6	6	6	6	6	6	6	6	6

Table 23 Expected monthly Salaries and Wages (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General manager	1,350	1,405	1,463	1,523	1,585	1,650	1,718	1,788	1,862	1,938
Accountant	450	468	488	508	528	550	573	596	621	646
Marketing officer	450	468	488	508	528	550	573	596	621	646
Cleaner	250	260	271	282	294	306	318	331	345	359
direct employees										
Services worker	250	260	271	282	294	306	318	331	345	359

Table 24 Expected Annual Salaries and Wages (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General manager	21,600	22,486	23,408	24,367	25,366	26,406	27,489	28,616	29,789	31,011
Accountant	7,200	7,495	7,803	8,122	8,455	8,802	9,163	9,539	9,930	10,337
Marketing officer	7,200	7,495	7,803	8,122	8,455	8,802	9,163	9,539	9,930	10,337
Cleaner	4,000	4,164	4,335	4,512	4,697	4,890	5,091	5,299	5,517	5,743
Total indirect salaries	40,000	41,640	43,347	45,124	46,975	48,901	50,905	52,993	55,165	57,427
direct employees										
Services worker	8,000	8,328	8,669	9,025	9,395	9,780	10,181	10,599	11,033	11,485
Total direct salaries	8,000	8,328	8,669	9,025	9,395	9,780	10,181	10,599	11,033	11,485
Grand total	48,000	49,968	52,017	54,149	56,369	58,681	61,087	63,591	66,198	68,912

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 25 Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Land	1,375,000	%0.0	%0.0
Furniture	3,300	%10.0	%5.0
	1,378,300		

Table 26 Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	1,378,300	1,378,465	1,378,638	1,378,820	1,379,011	1,379,212	1,379,422	1,379,643	1,379,876	1,380,119
Total Depreciation Expenses	330	347	364	382	401	421	442	464	488	512
Total Accumulated Depreciation	330	677	1,040	1,422	1,823	2,245	2,687	3,151	3,639	4,151
Total Additions	0	165	173	182	191	201	211	221	232	244
Total Net Book Values	1,377,970	1,377,789	1,377,598	1,377,398	1,377,188	1,376,967	1,376,735	1,376,492	1,376,237	1,375,969

Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 27 Loan Details

Loan Value				1,083,973
Annual Interest Rate				9.48%
Loans Period				5
Grace Period				2018
Loan Starts at year:				282,161
Annual Payment				5
Number of Payments				1,083,973
Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				1,083,973
2019	282,161	102,761	179,400	904,573
2020	282,161	85,754	196,407	708,166
2021	282,161	67,134	215,027	493,139
2022	282,161	46,750	235,411	257,728
2023	282,161	24,433	257,728	0

Income Statement

Table 28 Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	0	1,964,625	15,113	2,111,200	32,175	2,259,725	51,188	2,410,200	72,150	2,562,625
Gross Operating Revenues	0	1,964,625	15,113	2,111,200	32,175	2,259,725	51,188	2,410,200	72,150	2,562,625
Operating Expenses	-8,000	-1,179,425	-9,803	-1,259,365	-11,808	-1,339,509	-14,020	-1,419,864	-16,444	-1,500,432
Gross Operating Profit	-8,000	785,200	5,310	851,835	20,367	920,216	37,167	990,336	55,706	1,062,193
<i>Gross Profit Percentage</i>		%40	%35	%40	%63	%41	%73	%41	%77	%41
Salaries and Benefits (Indirect	-40,000	-41,640	-43,347	-45,124	-46,975	-48,901	-50,905	-52,993	-55,165	-57,427
General and Administraive	-3,300	-3,399	-3,501	-3,606	-3,714	-3,826	-3,940	-4,059	-4,180	-4,306
Markeing Expenses	-5,000	-1,000	-5,000	-1,000	-5,000	-1,000	-5,000	-1,000	-5,000	0
Pre-Operating Expenses	-7,700									
Gross Indirect Expenses	-56,000	-46,039	-51,848	-49,730	-55,689	-53,726	-59,846	-58,051	-64,346	-61,733
Income before Interest,	-64,000	739,161	-46,539	802,105	-35,322	866,489	-22,678	932,285	-8,640	1,000,460
Fixed Assets Depreciations	-330	-347	-364	-382	-401	-421	-442	-464	-488	-512
Income before Tax and Interests	-64,330	738,815	-46,902	801,723	-35,723	866,068	-23,121	931,821	-9,127	999,948
Bank Interests	-102,761	-85,754	-67,134	-46,750	-24,433	-0	-0	-0	-0	-0
Income Before Tax	-167,091	653,061	-114,037	754,973	-60,156	866,068	-23,121	931,821	-9,127	999,948
Income Tax	0	-24,299	5,702	-37,749	3,008	-43,303	1,156	-46,591	456	-49,997

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Profit	-167,091	628,763	-108,335	717,224	-57,148	822,765	-21,965	885,230	-8,671	949,951
<i>Net Profit Percentage</i>		%32	%717-	%34	%178-	%36	%43-	%37	%12-	%37
Compulsory Reserves	0	-62,876	0	-71,722	0	-82,276	0	-88,523	0	-94,995
Retained Earnings	-167,091	398,796	290,461	935,963	878,815	1,619,303	1,597,339	2,394,046	2,385,375	3,240,330

Expected Cashflows Statement

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 29 Expected Cashflows

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	-167,091	628,763	-108,335	717,224	-57,148	822,765	-21,965	885,230	-8,671	949,951
Bank Interests	102,761	85,754	67,134	46,750	24,433	0	0	0	0	0
Depreciation	330	347	364	382	401	421	442	464	488	512
Total Operating Cashflows before Additions to Working Capital	-64,000	714,863	-40,837	764,356	-32,314	823,186	-21,522	885,694	-8,184	950,463
Net Cashflows from Operating Activities	-64,000	714,863	-40,837	764,356	-32,314	823,186	-21,522	885,694	-8,184	950,463

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cashflows from Investments Activities										
Fixed Assets (Procurement)	1,378,300	-165	-173	-182	-191	-201	-211	-221	-232	-244
	-									
Net Cashflows from Investments Activities	-1,378,300	-165	-173	-182	-191	-201	-211	-221	-232	-244
Cashflows from Financing Activities										
Capital	1,625,959									
Loan Amortization	-179,400	-196,407	-215,027	-235,411	-257,728	0	0	0	0	0
Bank Interest Rate	-102,761	-85,754	-67,134	-46,750	-24,433	-0	-0	-0	-0	-0
Loans	1,083,973	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	2,427,772	-282,161	-282,161	-282,161	-282,161	0	0	0	0	0
Net (Increase/Decrease) in Cash	985,472	432,537	-323,171	482,013	-314,666	822,985	-21,733	885,473	-8,416	950,219
Cashflows at the Beginning of Period	0	985,472	1,418,009	1,094,838	1,576,851	1,262,186	2,085,171	2,063,438	2,948,911	2,940,495
Cashflows at the End of Period	985,472	1,418,009	1,094,838	1,576,851	1,262,186	2,085,171	2,063,438	2,948,911	2,940,495	3,890,714

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 30 Expected balance sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	985,472	1,418,009	1,094,838	1,576,851	1,262,186	2,085,171	2,063,438	2,948,911	2,940,495	3,890,714
Total current Assets	985,472	1,418,009	1,094,838	1,576,851	1,262,186	2,085,171	2,063,438	2,948,911	2,940,495	3,890,714
Non Current Assets										
Fixed Assets (net)	1,377,970	1,377,789	1,377,598	1,377,398	1,377,188	1,376,967	1,376,735	1,376,492	1,376,237	1,375,969
Total Non Current Assets	1,377,970	1,377,789	1,377,598	1,377,398	1,377,188	1,376,967	1,376,735	1,376,492	1,376,237	1,375,969
Total Assets	2,363,442	2,795,797	2,472,436	2,954,249	2,639,373	3,462,138	3,440,173	4,325,403	4,316,732	5,266,683
Liabilities										
Current Liabilities										
Remaining amount of Loan	196,407	215,027	235,411	257,728	0	0	0	0	0	0
Total current Liabilities	196,407	215,027	235,411	257,728	0-	0-	0-	0-	0-	0
Non Current Liabilities										
Long Terms Loans	708,166	493,139	257,728	0						
Total Long Term Liabilities	708,166	493,139	257,728	0	0	0	0	0	0	0
Total Liabilities	904,573	708,166	493,139	257,728	0	0	0	0	0	0
Owners Equity										
Shareholders Contributions	1,625,959	1,625,959	1,625,959	1,625,959	1,625,959	1,625,959	1,625,959	1,625,959	1,625,959	1,625,959

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Statutory Reseve	0	62,876	62,876	134,599	134,599	216,875	216,875	305,398	305,398	400,393
Retained Profits	167,091-	398,796	290,461	935,963	878,815	1,619,303	1,597,339	2,394,046	2,385,375	3,240,330
Total Equity	1,458,869	2,087,631	1,979,297	2,696,521	2,639,373	3,462,138	3,440,173	4,325,403	4,316,732	5,266,683
Total Liabilities and Equity	2,363,442	2,795,797	2,472,436	2,954,249	2,639,373	3,462,138	3,440,173	4,325,403	4,316,732	5,266,683

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans; therefore, the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 31 Free Net Cash Flows Table

Net Cashflows	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final value
Net Free Cashflows	-2,709,932	-56,300	714,698	-41,010	764,174	-32,505	822,985	-21,733	885,473	-8,416	950,219	10,321,560
Discount Factor	1.00	0.68	0.60	0.53	0.47	0.41	0.36	0.32	0.28	0.25	0.22	0.22
Net Present Value for Cash Flows	-2,709,932	-38,430	429,537	-21,701	356,049	-13,335	297,268	-6,912	247,954	-2,075	206,280	2,240,681

The table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 32 Payback Period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	-2,709,932	-56,300	714,698	-41,010	764,174	-32,505	822,985	-21,733	885,473	-8,416	950,219
Project Value Returned	2,709,932	2,766,232	2,051,535	2,092,545	1,328,371	1,360,876	537,890	559,623	-325,850	-317,434	-1,267,653
Payback Period (Year)	7	1	1	1	1	1	1	1	0	0	0

Table 33 Financial Analysis Results

Weighted Average Cost of Capital (WACC)	%13.57
Net Present Value for Cashflows	985,384
Payback Period	7
Internal Rate of Return	%20.48

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table 34 Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%20.48	7	13.57%
Revenues declined by 10%	%15.99	9	13.57%
Operating Expenses Increased by 10%	%17.94	9	13.57%

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 985,384 Jordan Dinars considering that the project provides 6 Job Opportunities for the governorate residents.

